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# ACCA AA
# Audit and Assurance

For exams in September 2022, December 2022, March 2023 and June 2023

# Key to icons

Syllabus

Technical content

Question to consider

Answer

Past exam question

Answer to past exam question

Case study

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Key model

Tackling the exam

Summary

# Syllabus

| | |
|---|---|
| A | Audit framework and regulation |
| B | Planning and risk assessment |
| C | Internal control |
| D | Audit evidence |
| E | Review and reporting |
| F | Employability and technology skills |

# Exam format

| Section | Marks | Question Type |
|---|---|---|
| A | 30 | 3 x 10 mark scenario-based mini-case questions<br><br>Each mini-case question contains 5 x 2-mark objective test questions and will examine a single syllabus area |
| B | 70 | 1 x 30-mark constructed response question<br>2 x 20-mark constructed response questions<br><br>Questions will predominantly examine the syllabus areas of planning and risk assessment, internal control and audit evidence |

# Past exams

The ACCA have published the following past exams:

- A Specimen Exam, two Practice Exams for students to attempt as well as the September/December 2020, March/June 2021, September/December 2021 real past exams on the ACCA Practice Platform:

  https://www.accaglobal.com/hk/en/student/exam-support-resources/fundamentals-exams-study-resources/f8/cbe-question-practice.html

# Past exams (cont'd)

- PDF copies of the real past exams from:
  - March/June 2018, September/December 2018
  - March/June 2019, September/December 2019
  - March/July 2020, September/December 2020
  - March/June 2021, September/December 2021

https://www.accaglobal.com/hk/en/student/exam-support-resources/fundamentals-exams-study-resources/f8/past-exam-papers.html

# Chapter 1
# The concept of audit and other assurance engagements

- Objective of external audit
- Accountability, stewardship and agency
- ISA 700 (Revised)
- Assurance engagements
- Levels of assurance

# Syllabus learning outcomes

- Identify and describe the objective and general principles of external audit engagements.
- Explain the nature and development of audit and other assurance engagements.
- Discuss the concepts of accountability, stewardship and agency.
- Define and provide the objectives of an assurance engagement.
- Explain the five elements of an assurance engagement.
- Describe the types of assurance engagement.
- Explain the level of assurance provided by an external audit and other review engagements and the concept of true and fair presentation.
- Describe the limitations of external audits.

# Chapter summary diagram

The concept of audit and other assurance engagements

- The purpose of external audit
- Accountability, stewardship and agency
- Types and levels of assurance and reporting

# Objective of external audit 1

**The objective of an audit:**

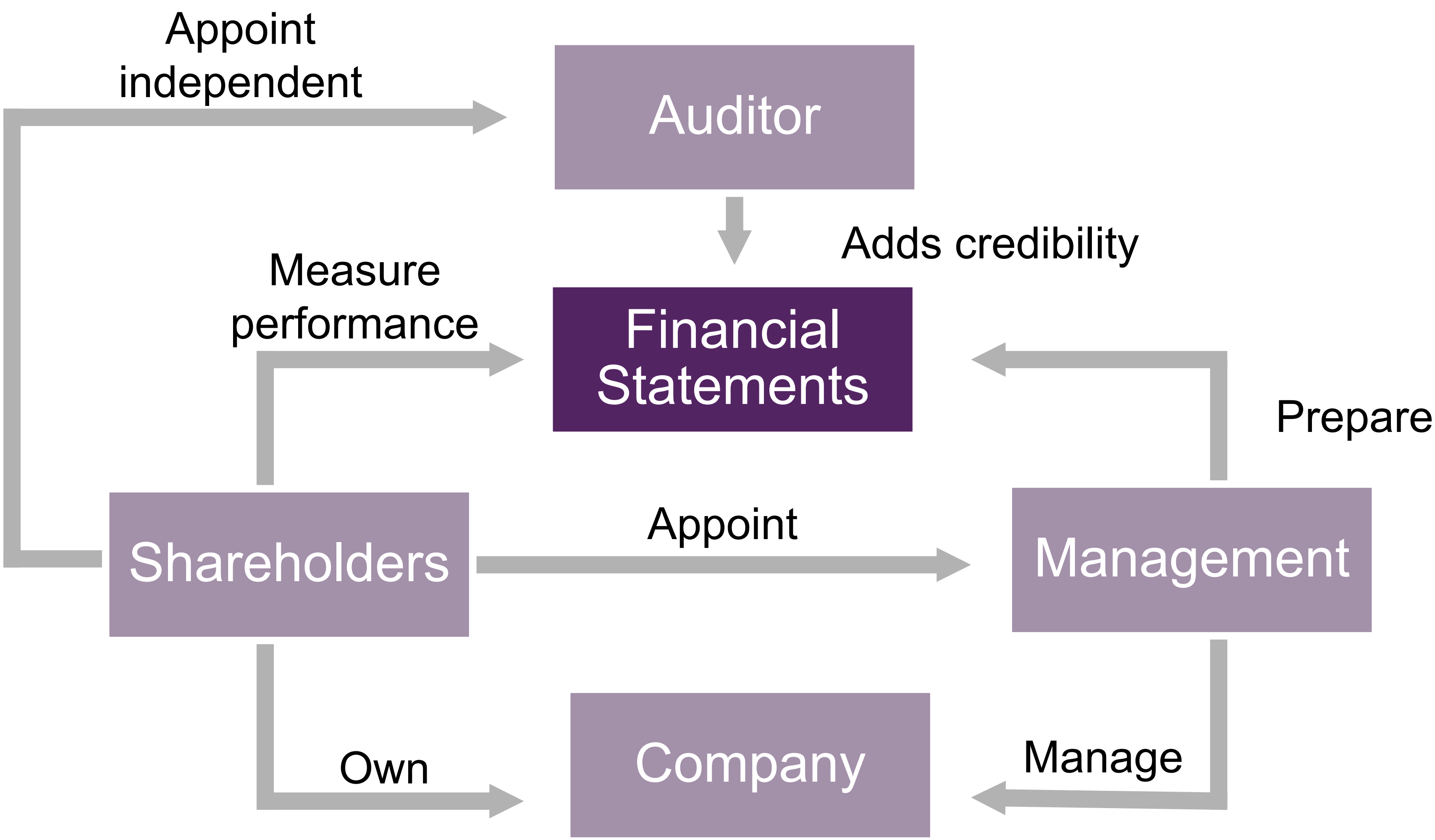
The objective of an audit of financial statements is to enable the auditor to express an opinion on whether the financial statements are prepared, in all **material** respects, in accordance with an applicable financial reporting framework.

# Objective of external audit 2

**The objectives of an auditor are:**

To obtain **reasonable assurance** about whether the financial statements as a whole are free from **material misstatement**, whether due to fraud or error, in order to enable them **to express an opinion** on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.

# Accountability, stewardship and agency 1



# Accountability, stewardship and agency 2

**Management**

- Act as **agents** for the body of shareholders (principals)
- **Accountable** to the shareholders for the **stewardship** of the entity's assets which are placed under their control
- Achieved by preparing and presenting financial statements

**Auditors**

- Independent of the entity
- Provide an opinion to shareholders as to whether the financial statements are 'presented fairly'/give a true and fair view
- **Agent** of the body of shareholders, as appointed by and report to them

# Accountability, stewardship and agency 3

**True**

- Factual and conforms with reality
- Conforms with required standards and law
- Correctly extracted from the books and records

**Fair**

- Free from discrimination and bias
- Complies with expected standards and rules
- Reflects commercial substance

**Present fairly**

- Show a true and fair view
- Factual and free from bias

# Real world example: FlowTex

FlowTex was a German company set up by two businessmen which made machines for horizontal drilling. By 2000, they had sold over 3,000 drilling machines worth millions.

In actuality, they had only ever produced 181 machines which were sold multiple times! Over ten years they managed to secure loans worth more than €2 billion for non-existent drilling systems.

Friends and family, as well as company employees, were all involved in the fraud, which resulted in the two men being arrested for fraud and tax evasion.

This is the largest financial scandal in German history to date.

# ISA 700 (Revised) 1

**The auditor's report**

- The output from the audit (covered in detail in Chapter 20)

**Structure**

- Opinion
- Basis for opinion
- Key audit matters
- Responsibilities of management and TCWG
- Auditor's responsibilities
- Name of engagement partner
- Signature
- Address
- Date

# ISA 700 (Revised) 2

**Materiality**

- An expression of the relative significance or importance of a particular matter in the context of the financial statements as a whole.
- A matter is material if its omission or misstatement would reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.
- Depends on the size of the item or error judged in the particular circumstances of its omission or misstatement (ISA 200: para. 6)
- Covered in detail in Chapter 6

# ISA 700 (Revised) 3

**Reasonable assurance**

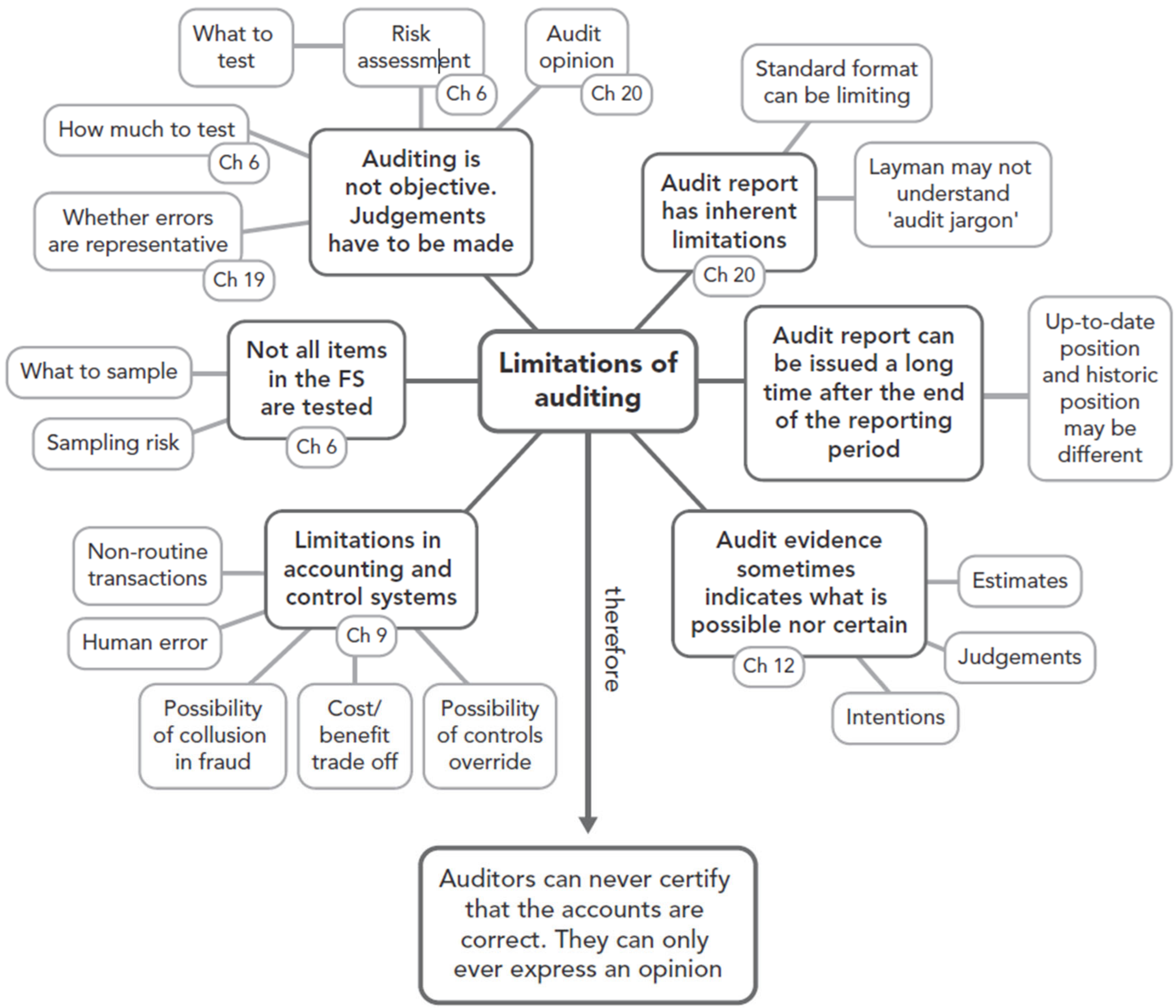
- The highest level of assurance that can be given.
- No auditor can give a 100% guarantee that the financial statements are free from material misstatement due to the inherent limitations of an audit.

# ISA 700 (Revised) 4

**The inherent limitations of the external audit**

- Limitations in the accounting and control systems.
- Not all transactions are tested.
- Auditing requires judgements to be made.
- Auditor's report has limitations.
- Audit evidence may indicate what is probable, not certain.
- Auditor's report is issued a while after the reporting date.

# ISA 700 (Revised) 5



# Assurance engagements 1

'An **assurance engagement** is an engagement in which a **practitioner** aims to obtain sufficient appropriate evidence in order to express a conclusion designed to enhance the degree of confidence of the **intended users** other than the **responsible party** about the outcome of the measurement or evaluation of an underlying subject matter against criteria'.

*[International Framework for Assurance Engagements]*

# Assurance engagements 2

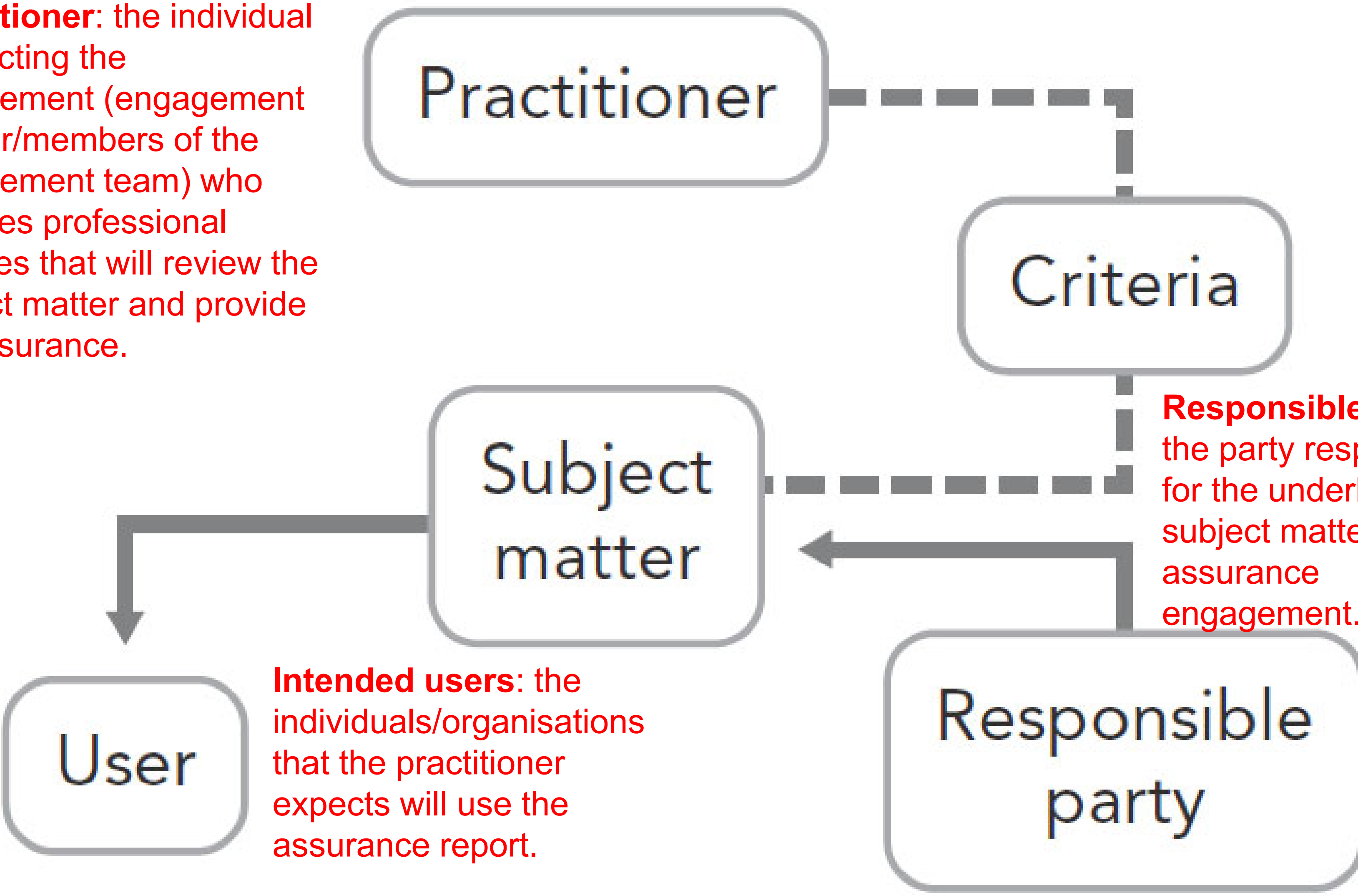
**Practitioner**: the individual conducting the engagement (engagement partner/members of the engagement team) who provides professional services that will review the subject matter and provide the assurance.

**Intended users**: the individuals/organisations that the practitioner expects will use the assurance report.

**Responsible party**: the party responsible for the underlying subject matter of the assurance engagement.

# Assurance engagements 3

**Practitioner**: the individual conducting the engagement (engagement partner/members of the engagement team) who provides professional services that will review the subject matter and provide the assurance.




**Responsible party**: the party responsible for the underlying subject matter of the assurance engagement.

**Intended users**: the individuals/organisations that the practitioner expects will use the assurance report.

(1) **A three-party relationship** between

– a practitioner (the auditor)

– a responsible party (the board of directors of the company being audited)

– intended users (the readers of the financial statements)

(2) A **subject matter** – data to be evaluated that has been prepared by the responsible party. It can take many forms, including financial performance, nonfinancial performance, processes and behaviour.

(3) **Suitable criteria** –the subject matter is evaluated or measured against criteria in order to reach an opinion.

(4) **Sufficient appropriate evidence** needs to be gathered to support the required level of assurance.

(5) A **written report** containing the practitioner's opinion is issued to the intended user, in the form appropriate to a reasonable assurance engagement or a limited assurance engagement.

# Elements of an audit engagement

# Assurance engagements 4

**There are five elements to an assurance engagement:**

- **C**riteria – suitable criteria
- **R**eport – an assurance report
- **E**vidence
- **S**ubject matter
- **T**hree party relationship (intended user, responsible party, practitioner)

Use the mnemonic **CREST** to remember the five elements of an assurance engagement!

# Question: External audit

Consider the external audit.

Identify the five different elements of it and identify examples for each element.

**(Hint: remember to use CREST)**

# Answer: External audit

| Element | Example for external audit |
| --- | --- |
| Three party relationship | Shareholders (intended users)<br>Directors (responsible party)<br>External auditor (practitioner) |
| Subject matter | Financial statements |
| Suitable criteria | ISAs and IFRSs and relevant legislation (eg Companies Act 2006 in UK) |
| Evidence | Accounting records and source documentation |
| Assurance report | Auditor's report |

# Question: March/June 2016 Question 5b

Quartz's finance director has asked your firm to undertake a non-audit assurance engagement later in the year. The audit junior has not been involved in such an assignment before and has asked you to explain what an assurance engagement involves.

**Required:**

Explain the five elements of an assurance engagement.  (5 marks)

# Approach: March/June 2016 Question 5b

- First, note the requirement to 'Explain…' and the mark allocation. Assume there is one mark for each properly explained element.
- There are five marks here so you have **just under 10 minutes** to answer this question.
- Remember **CREST** to help you address each of the elements of an assurance engagement.
- You will need to properly explain each element to score sufficient marks to pass the requirement.

# Answer: March/June 2016 Question 5b

| Element | Explanation |
| --- | --- |
| Three party relationship | The three parties to an assurance engagement are the intended user, the responsible party and the practitioner. |
| Subject matter | The subject matter is the data to be evaluated that has been prepared by the responsible party. |
| Criteria | The criteria are used to measure and evaluate the subject matter to reach an opinion. |
| Evidence | Sufficient appropriate evidence needs to be gathered to support the required level of assurance. |
| Report | A report of the practitioner's opinion is issued to the intended user. |

# Assurance engagements 5

**Examples of assurance engagements include:**

**Examples**

- A review of the effectiveness of an entity's internal control
- A review of cash flow forecasts which will be presented to a bank to obtain funding
- A review of threats which could affect the business's ability to continue as a going concern
- A review of an entity's compliance with:
  - Corporate governance
  - Environmental issues
  - Contracts
  - Other regulation
- A review of an entity's financial results for the first half of the year
- Statutory audit

# Assurance engagements 6

## Conducting assurance engagements – the process:

1. Agree **scope of work** to be performed with the client
2. Formalise the terms of the engagement in a contract (**engagement letter**)
3. **Plan** the work required based on the **risk** and **level of assurance** required
4. Obtain **sufficient appropriate evidence** on which to base the conclusion
5. Perform **overall review** and **form opinion**
6. Issue **assurance report** to the client as per pre-agreed format

# Assurance engagements 7

**Benefits of an assurance engagement**

An assurance report provides the following benefits to the users of information:

- Provides an **independent opinion** from an external source that **enhances the credibility** of the information
- **Reduces** management **bias**
- Any non-standard or modified opinion **draws attention to risk**.
- Relevance of information is improved because of the expertise and knowledge of the assurance firm.

# Levels of assurance 1

ISAE 3000 (Revised) *Assurance Engagements Other than Audits or Reviews of Historical Financial Information* distinguishes between **two forms of assurance engagements**:

- **Reasonable assurance** engagements
- **Limited assurance** engagements

# Levels of assurance 2

**Assurance recap:**

Assurance refers to the practitioner's satisfaction as to the reliability of the assertion made by one party for use by another party.

- Different assurance engagements will provide different levels of assurance.
- Assurance can be reasonable (positive form of conclusion) or limited (negative form of conclusion).
- Reasonable assurance engagements provide a higher level of assurance than limited assurance engagements.
- Assurance obtained from an assurance engagement can never be absolute.

# Levels of assurance 3

**Reasonable** assurance (high, but not absolute) eg external audit

**Positive** expression:

'In our opinion, the financial statements present fairly...'

# Levels of assurance 4

Here is an extract from an auditor's report:

**Opinion**

'In our opinion the financial statements present fairly, in all material respects (or *give a **true and fair view** of*), the financial position of ABC Company as of 31 December 20XX, and (*of*) its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards'.

# Levels of assurance 5

**External audit**

The external audit provides a reasonable level of assurance over the truth and fairness of the financial statements.

We covered the meaning of '**true**' and '**fair**' earlier in this chapter.

# Levels of assurance 6

**Limited** assurance

(lower level than reasonable assurance)

eg review engagement

**Negative** expression:

'Nothing has come to our attention that causes us to believe that the financial statements do not give a true and fair view…'

# Levels of assurance 7

Review engagements

Attestation engagements, eg review of interim financial statements

Direct engagement, eg due diligence

# Levels of assurance 8

Let's look at **review engagements** in more detail:

'The practitioner shall express an unmodified conclusion in the practitioner’s report on the financial statements as a whole when the practitioner has obtained limited assurance to be able to conclude that nothing has come to the practitioner's attention that causes the practitioner to believe that the financial statements are not prepared, in all material respects, in accordance with an applicable financial reporting framework'.

ISRE 2400 *Engagements to review historical financial statements*

# Question: BJM Co sub-question 4

The Board of BJM Co has asked your audit firm (YHT & Co) to conduct a review of BJM's compliance with hygiene regulations.

The partner responsible for the review engagement has asked you to tell him what level of assurance you believe YHT & Co should provide, and also what type of opinion the firm should give.

**What is the level of assurance and type of opinion that can be provided on this review engagement?**

| | Level of assurance | Report wording |
|---|---|---|
| ○ | Reasonable | Positive |
| ○ | Reasonable | Negative |
| ○ | Limited | Positive |
| ○ | Limited | Negative |

# Answer: BJM Co sub-question 4

The correct answer is:

| | | |
|---|---|---|
| ○ | Limited | Negative |

The review of hygiene regulations is an assurance engagement where the practitioner carries out limited procedures on BJM's internal controls relating to hygiene compliance.

As the procedures are limited, the practitioner will gain only enough evidence to provide a negative expression of opinion. This means the practitioner gives assurance that nothing has come to their attention which indicates that BJM's internal controls relating to hygiene are not, in all material respects, compliant with national regulations.

# Question: Jones Co

You are the newly appointed auditor of Jones Co, a company which has previously not had to have an external audit because of its size. The owner of the company does not fully understand why an external audit cannot provide complete assurance over the truth and fairness of the accounts.

Explain the inherent limitations of the external audit to the owner of Jones Co.

# Answer: Jones Co 1

The external audit can provide a high level of assurance over the truth and fairness of the financial statements but it cannot ever provide absolute assurance because of a number of reasons, including the inherent limitations in the accounting and control systems.

Also, the external auditors will not test 100% of transactions – doing so would result in a huge input of costs and time. (Instead, auditors apply professional judgement and the concept of materiality.)

# Answer: Jones Co 2

Evidence that the auditors obtain may sometimes only indicate what is probable, not certain. This applies to figures that are subject to estimates and the judgement of the directors (for example, provisions).

The auditor's report has limitations and is issued some time after the reporting date of the financial statements.

# Question: June 2015 Section B Q5c

**Required:**

Describe the level of assurance provided by external audits and review engagements. (2 marks)

# Approach: June 2015 Section B Q5c

- This question is worth just two marks, so you have just under four minutes to answer it. Your answer needs to be succinct and to the point.
- The requirement says 'describe' so first state what level of assurance is provided by each engagement and then explain it further.
- Use two headings, one for each type of engagement.

# Answer: June 2015 Section B Q5c 1

**External audit**

The external audit provides reasonable assurance.

Reasonable assurance is a high, but not absolute, level of assurance.

This provides comfort that the financial statements present fairly in all material respects (or are true and fair) and are free of material misstatements.

# Answer: June 2015 Section B Q5c 2

**Other review engagements**

Other review engagements provide limited assurance.

Limited assurance is a lower level of assurance, where the practitioner gathers sufficient evidence to be satisfied that the subject matter is plausible.

In this case, negative assurance is given whereby the practitioner confirms that nothing has come to their attention which indicates that the subject matter contains material misstatements.

# Tackling the exam

- This area of the syllabus is most likely to be examined as an objective test question in the mini-case questions in Section A of the exam.
- It could also be examined as a small part of a longer written question in Section B. You could be asked to explain the elements of an assurance engagement or asked about the level of assurance provided by various assurance engagements.
- These kinds of requirement should present you with relatively straightforward marks, but don't over-run on time by writing everything you know in a Section B question as you will lose time on subsequent questions. Always take notice of the mark allocation which has been awarded to the question.

# Watchdog not Bloodhound?

Case Re: Kingston Cotton Mills Co. (1896), Lord Justice Lopes defined an auditor's duty of care as follows: "It is the duty of an auditor to bring to bear on the work he has to perform that skill, care and caution which a reasonably careful, cautious auditor would use. What is reasonable skill, care and caution must depend on the particular circumstances of each case. An auditor is not bound to be a detective, or, as was said to approach his work with suspicion, or with a forgone conclusion that there is something wrong. He is a watchdog, not a bloodhound. He is justified in believing tried servants of the company in whom confidence is placed by the company. He is entitled to assume that they are honest and rely upon their representations, provided he takes reasonable care."

# Watchdog not Bloodhound

- Compliance with applicable ethical principles, i.e. the IFAC Code of Ethics for Professional Accountants and the ethical pronouncements of the auditor's professional body, e.g. the ACCA's Rules of Professional Conduct.
- Compliance with applicable auditing standards, i.e. the International Auditing and Assurance Standards Board's (IAASB's) International Standards on Auditing (ISAs).
- Planning and performing the audit with an attitude of professional scepticism that recognises that the financial statements being audited may be materially misstated.
- Relevant national legal frameworks.

# General principles to be followed in conducting an external audit engagement